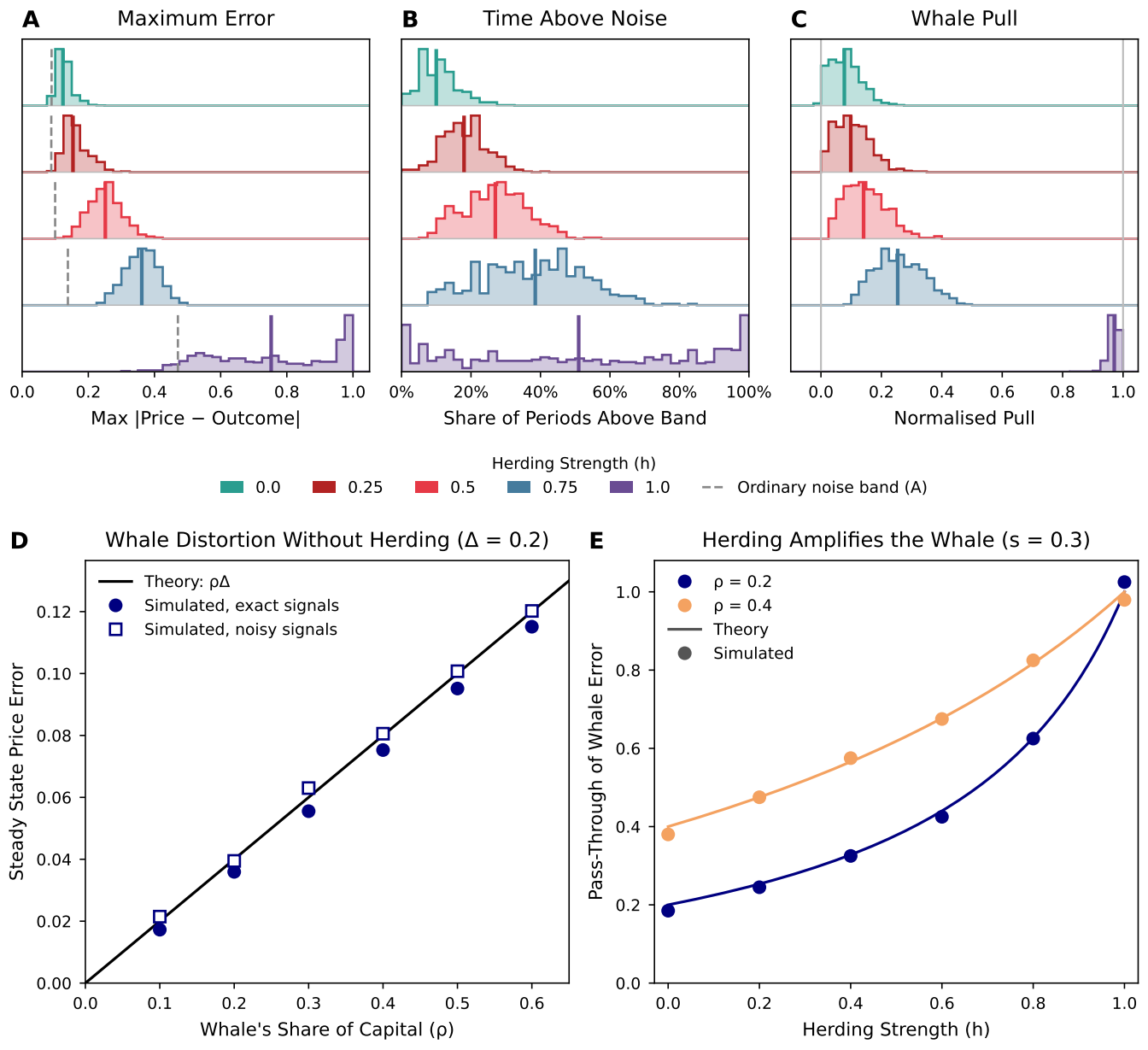
A
Maximum Error
B
Time Above Noise
C
Whale Pull
0.0
0.2
0.4
0.6
0.8
1.0
Max |Price − Outcome|
0%
20%
40%
60%
80%
100%
Share of Periods Above Band
Normalised Pull
Herding Strength (h)
0.0
0.25
0.5
0.75
1.0
Ordinary noise band (A)
D
Whale Distortion Without Herding (Δ = 0.2)
Theory: ρΔ
Simulated, exact signals
Simulated, noisy signals
Steady State Price Error
Whale's Share of Capital (ρ)
E
Herding Amplifies the Whale (s = 0.3)
ρ = 0.2
ρ = 0.4
Theory
Simulated
Pass-Through of Whale Error
Herding Strength (h)